

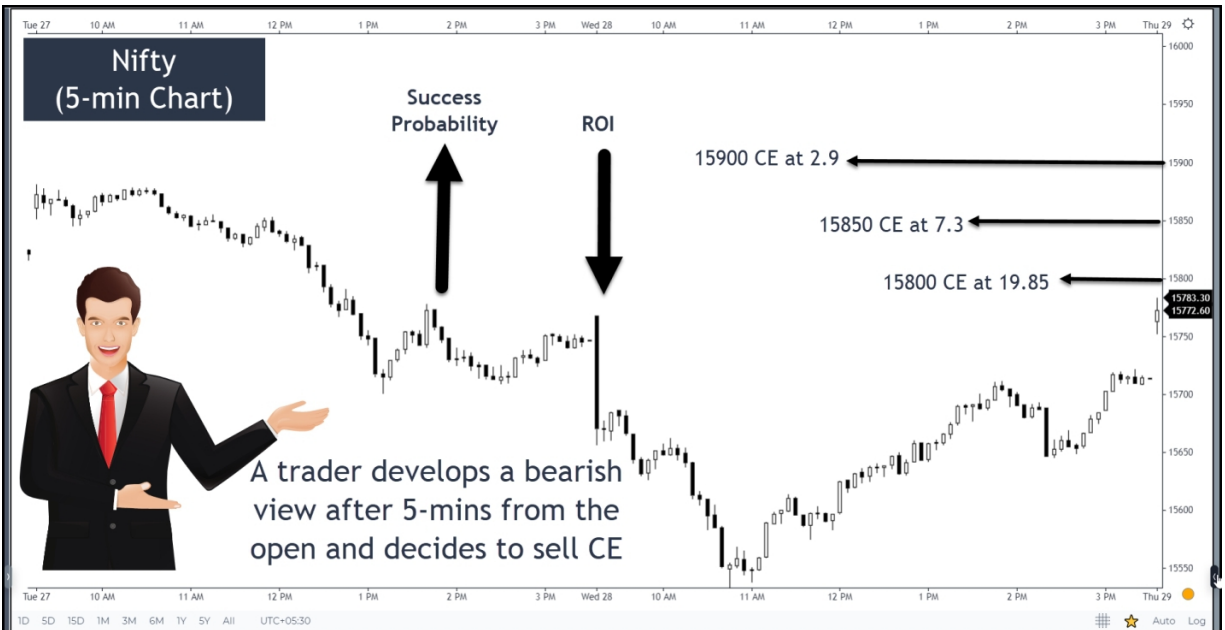


Image 8.4 – Importance of Strike Price in Day Trading

An option seller develops a bearish view (for whatsoever reason), and he decides to sell the call option.

In the above example, 29th July itself is the expiry day. So he has to pick the right strike price.

After 5 mins, the CMP of Nifty is 15772. So we look at the immediate 3 call options and how ROI and success probability work out. Please note that he needs almost the same margin to sell all these strike price call options (approx. Rs.120,000)

If he sells 15800 CE, he will get a premium of 19.85, and if the price closes below 15800, he will pocket the entire premium. ROI on the capital is 0.83%.

But if he decides to sell 15850 CE, he will pocket the entire premium of 7.3 if the price closes below 15850, and hence ROI on the capital is 0.3%.

On the other hand, if he chooses to sell 15900 CE, he will pocket the premium of 2.9 if the price closes below 15900. Hence ROI on the capital is 0.12%.

Whenever we pick OTM options to sell, there is a high probability of success, but ROI decreases. But if we choose a very close strike price (or ATM), then there is less probability of profits, but ROI will be attractive.